



COMPREHENSIVE BRIBERY AND CORRUPTION RISK ASSESSMENT REPORT

**FY 2026/2027 | Prepared in the format of Appendix III(a) of the EACC Practical Guide for
Corruption Risk Assessment and Management**

Institution	Demo County Licensing Office (Institution ID DEMO-003)
Assessment period	Assessment conducted 4 May to 3 June 2026 for the financial year 1 July 2026 to 30 June 2027
Report date	5 June 2026
Approval	Approved by the CPC at its special meeting of 19 June 2026, Min. CPC/SP/05/2026
Effective from / to	1 July 2026 to 30 June 2027
Status	Active
Prerequisite	Procedures for Prevention of Bribery and Corruption v1.0 approved 12 May 2026 (ref. DCLO/CPC/PROC/01/2026)

1. Context and scope of the assessment

The Demo County Licensing Office issues business and trade licences, inspects licensed premises for compliance, and collects licence fees and penalties on behalf of the Demo County Government. It has 64 staff across three core functions and five support functions. The assessment covered the entity's **core mandate** (licensing services, licence approvals, inspections and enforcement, revenue collection) and **all support services** (supply chain management, human resources, finance, ICT and records, transport and assets), as required by the 23rd Cycle guidelines.

2. Methodology

The assessment was led by the Senior Integrity Assurance Officer with the IAO Committee. Methods used were document review of process manuals and audit reports; walk-throughs of the licensing and inspection processes; structured interviews with 22 staff; and a review of service-user feedback. Each risk was rated on a 1 to 5 probability (Pr) scale and a 1 to 5 impact (Im) scale, giving a score (Pr x Im) on a 1 to 25 scale. Scores are used to order risks for mitigation; this report does not apply severity bands.

Scale value	Probability (Pr)	Impact (Im)
1	Rare - not expected in the year	Negligible loss or service effect
2	Unlikely - could occur once	Minor, contained within a unit
3	Possible - may occur a few times	Moderate loss or public complaint
4	Likely - expected to occur regularly	Major loss, service disruption or public trust affected
5	Almost certain - occurs routinely	Severe loss, systemic or reputational damage

3. Corruption risk assessment (Appendix III(a) format)

S. No	Function	Identified corruption risk (what could go wrong)	Risk source (why would the risk event occur)	Pr (1-5)	Im (1-5)	Score (Pr x Im)
R-01	Core - Inspections and enforcement	Discretionary licence inspections: inspectors decide which premises to inspect, when, and whether to impose penalties, creating opportunities to solicit bribes, accept facilitation payments or extort traders.	No published inspection schedule; unscheduled visits not authorised in writing; staff not trained on the Procedures; on-site cash settlement of penalties.	4	5	20

S. No	Function	Identified corruption risk (what could go wrong)	Risk source (why would the risk event occur)	Pr (1-5)	Im (1-5)	Score (Pr x Im)
R-02	Support - Supply chain management	Weak oversight of procurement approvals: requisitions, local purchase orders and awards approved without checks on thresholds, budget, quotations or the approving officer's interests, allowing favoured suppliers or inflated prices.	No independent post-approval review; approvers' conflict of interest declarations not checked; requisitioner and approver can be the same person for low-value purchases.	3	5	15
R-03	Core - Licensing services	Applicants pay to jump the queue or have approvals expedited.	Manual application register; service charter timelines not tracked; face-to-face submission only.	3	4	12
R-04	Core - Licence approvals	Licences approved for applicants who do not meet requirements because the approving officer has a private interest.	No per-application conflict of interest declaration; approval by a single officer.	2	5	10
R-05	Core - Revenue collection	Licence fees and penalties under-collected or diverted.	Cash receipting at counters; weekly rather than daily bank reconciliation.	3	4	12
R-06	Support - Human resources	Recruitment influenced by canvassing, nepotism or undue influence.	Panel members' interests in candidates not declared or recorded.	2	4	8
R-07	Support - ICT and records	Licence records altered or removed to conceal irregular approvals or unpaid fees.	Shared user accounts on the licensing database; no access logs reviewed.	2	4	8
R-08	Support - Transport and assets	Official vehicles used for private purposes during field inspections.	Work tickets not linked to the inspection schedule.	3	2	6

4. Existing controls

S. No	Existing controls at the time of assessment	Observed gap
R-01	Monthly supervisory review of inspection reports; two-officer rule in policy but not enforced.	No published inspection schedule; unscheduled visits not authorised in writing; staff not trained on the Procedures; on-site cash settlement of penalties.
R-02	Tender committee structure under PPADA; annual external audit.	No independent post-approval review; approvers' conflict of interest declarations not checked; requisitioner and approver can be the same person for low-value purchases.
R-03	Service charter displayed; supervisor spot checks.	Manual application register; service charter timelines not tracked; face-to-face submission only.
R-04	Annual declaration under the Code of Conduct.	No per-application conflict of interest declaration; approval by a single officer.
R-05	Pre-numbered receipt books; weekly reconciliation.	Cash receipting at counters; weekly rather than daily bank reconciliation.
R-06	Advertised vacancies; panel interviews.	Panel members' interests in candidates not declared or recorded.
R-07	Password policy; physical file registry.	Shared user accounts on the licensing database; no access logs reviewed.
R-08	Work tickets signed by Head of Inspections.	Work tickets not linked to the inspection schedule.

5. Key findings

- The highest-scoring risk is discretionary licence inspections (R-01, score 20). It arises from controls that exist on paper but are not operated: there is no published inspection schedule, and inspection, licensing and revenue staff have not been trained on the Procedures approved on 12 May 2026.
- The second-highest risk is weak oversight of procurement approvals (R-02, score 15). No one independently reviews approvals after they are made, so threshold, quotation, budget and conflict of interest breaches go undetected.
- Manual, face-to-face licensing and cash handling (R-03, R-05) create unnecessary human interaction and discretion; digitisation should be considered in the next planning cycle in line with the 23rd Cycle guidance.
- Risks R-03 to R-08 score 12 or lower and are partly covered by existing controls.

6. Recommendation

The CPC should approve an Anti-Bribery and Corruption Mitigation Plan that concentrates the year's resources on the two highest-scoring risks: publishing and following an inspection schedule, with quarterly exception reviews, and training affected staff (R-01); and quarterly independent spot-checks of procurement approvals from Quarter 2 (R-02). Risks R-03 to R-08 should be monitored through existing controls and quarterly IAO reports, and reassessed for new mitigation activities in the FY 2027/2028 assessment.

Prepared by



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Date: 5 June 2026
Fictional signature for demonstration

Approved by (CPC Chairperson / Accounting Officer)



Name: Rose Atieno
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DEMO FIXTURE
FICTIONAL INSTITUTION - NOT REAL